Eight Rate Hikes? Why the Fed Has No Good Options Left

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The current economic and geopolitical landscape presents a complex environment with no "good easy option," where traditional Fed hiking strategies risk exacerbating inflation without solving structural fiscal deficits, while escalating trade conflicts (Strait of Hormuz, US-Canada) and geopolitical tensions (Russia/Ukraine, NATO risks) create significant tail risk for global markets. Simultaneously, societal trust is eroding due to elite political capture and extreme wealth polarization, leading to a cultural backdrop where investors must move beyond market timing toward active disaster-proofing through specific asset classes like critical minerals and energy to hedge against potential systemic shocks or regime change.

2. Key Arguments & Data

3. **Fed Policy & Inflation:** The Federal Reserve is facing a conundrum; Hawkish signals from Chair-level officials (Kevin Warsh/Worcester) could lead to September rate hikes, though analysts debate the signal-to-noise ratio regarding inflation (~4% annualized). The dual mandate allows the Fed to fuel fiscal profligacy, preventing long-term economic correction. By old school Taylor Rule metrics, 8 hikes are required for true disinflation, but current reality suggests 1-2 hikes might suffice for sentiment without solving the root cause of spending powerlessness in Congress.
4. **Market Performance (S&P -2.3%):** Equities broadly performed poorly; Small caps down 1.4%, Bitcoin down 4%. The only major green area was Mac7 (+0.7%). Oil was flat but gasoline futures up 2%; Gold (-2.9%) and Silver (-2.4%) declined after previous gains, though miners and palladium (+7%) outperformed due to Russia risk.
5. **Geopolitics & Energy Security:** US oil production is approximately 7 million barrels per day less than pre-war levels due to bottlenecks in the Strait of Hormuz. Iran and Houthis are utilizing ship-to-ship transfers, allowing smuggling while disrupting choke points. There is a perception that both sides (Iran/Russia) benefit from an equilibrium where neither fully secures their advantage long-term.

6. **US-Canada Trade:** Negotiations between Carney and Trump were pulled last minute due to political capital concerns ahead of midterms. Canada's trade surplus with the US could evaporate if they export energy abroad, potentially creating inflationary pressure in the US while securing cheap energy for themselves.
7. **Military Escalation:** CIA Director flew unannounced to Moscow (likely linked to Ukraine intelligence gathering). A pause in Ukrainian offensive operations followed, raising fears of Russia targeting NATO or Ukraine entering a "war of attrition" involving nuclear risks (tail risk probability estimated >0%).
8. **Political & Social Dynamics:** Elites and Democrats are described as an occupying force ("unit party") that fails to solve the problem they created. There is a fear of societal collapse resembling Latin American favelas or a return to "Roosevelt-style" economic intervention due to high trust in society being at an all-time low.

9. **Education & NIL:** The college football sector faces significant legal changes regarding athlete eligibility (NIL). A specific Cleveland Browns prospect discussed as a quarterback; rules suggest players forfeit eligibility after making the 53-man roster, sparking debate on how these young athletes receive education and funding in a "wild west" environment.

10. Actionable Takeaways

11. **Portfolio Construction:** Investors should move away from trying to time the Fed's "soft landing" narrative and instead focus on hedging against geopolitical tail risks. Specific allocations should include critical minerals (Tungsten for munitions, Palladium for supply chains), defense stocks in Europe, and energy markets due to their sensitivity to conflict.
12. **Risk Management:** Use a small portfolio portion specifically for "calls" or hedges that make sense even if they go to zero (e.g., commodities with concentrated supply like Tungsten or Palladium) because global transit reliance creates asymmetry risk.
13. **Monitor Geopolitical Triggers:** Watch for escalation triggers such as NATO missile interceptors running low (due to Iran/Iran proxy

conflict) and potential nuclear deployment in Europe or the Middle East. Gold/Silver may not perform better than expected if major nations liquidate reserves, so avoid over-reliance on traditional precious metals alone.

14. **Social Context Awareness:** Recognize that cultural trust is declining and political polarization is increasing; this environment suggests instability where "easy money" narratives fail, reinforcing the need for capital discipline rather than speculative plays.

Full Transcript

There's no like good easy option anymore. So if you go hiking rates, that has all sorts of its own problems. But if you don't, that has all sorts of its own problems. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the Daily Dots. And I am joined as always by the Brain Trust himself, Mr. Chase Taylor. Let's get into the Fed stuff. Give the folks a little bit of a breakdown of what news, what made those markets move today and then we can discuss it. Yeah. I mean, at the end of the day, it was just Kevin Worcester doing his job today. And like in our Monday and Tuesday meetings, I even outlined like, hey, if he's hawkish Friday, we're going to get whacked. That's gonna take you know, it's gonna grab gold and stuff and throw it back So it wasn't not at all surprising But yeah, like he was genuinely hawkish and it sounds like they will be hiking to now probably September from from the way I read what he said But I will add though if he doesn't and if or and or if Besson really does start using up balance sheet to cap yields then You know, today was just a one off fake hot day. Um, but you know, if he falls through and they start hiking, that's a different story. I'm having a lot of time. I'm having a really tough time trying to figure out signal and noise here. Um, everybody is, I mean, I guess that's right. I guess that's always the challenge. But, but, um, it, I do.

I do find it slightly odd. Now I'm going to sound like I'm talking out of both sides of my mouth here. So there's my disclosure, but it does, it does feel slightly odd to me that we're talking about the urgency. I understand if we're looking at prices and we're looking at price impacts or even little bumps in the CPI and you know, all that kind of, I get why you talk hike, but I feel like we've seen a strike, a string of economic data that it would at least Provide plenty of cover if you wanted to just chill here for a bit And I give him credit because he didn't it didn't take that that opportunity But I think best it screwed him over and made him be hawkish Right. Yeah. Yeah, cuz yeah inflation's close inflation is close to four I mean our six-month annualized I know for and and To his credit like he looked at was like yeah, the last two prints were pretty good But but if we look at trend is bad and And if you're going to look forward looking, given what's going on in agriculture prices and energy prices, like obviously you're about to have problems. So I give him credit for not being like, Hey, the last two months are great. We're not doing anything. Yeah. Are you still surprised Trump hired him? Again, it's only one person and we put too much on. It's not like.

whoever you put in there, I mean, you know, Trump could have hired Noam Chomsky and stuck him in there and it probably wouldn't have changed the overall committee's decision. But I am still surprised that he's taught like, because here's why it to me, it feels a little bit like we're just putting lipstick on a pig. We're rearranging deck chairs. I understand you want to keep things orderly, but everybody knows the dollar's got to go down. Right? The dollar's got to keep going down. The dollar doesn't keep going to the dollar going down does not help Trump in any way in terms of you know, the outlook for inflation, the perception of things, right? That doesn't help. But in all reality, you know, anybody that's going to be out there talking about bring back King dollar and oh, they're deteriorating the price of the dollar. I mean, that's silly talk, right? Like I mean, there's only one way this is going to go. And we're just, it just feels like we're bidding against ourselves, right? Like we've got political reasons of why we don't want to see the dollar go down, right?

Or, you know, we, we got to, we want to quote unquote attack inflation. We want to do all the, don't you see what I'm saying? Kind of this nature of bidding against each other. We're like, then Warsh has got to come out and

try to sanitize what, and you're just like, guys, you're, you're trying to thread a needle where it's not going to get done. This is a, this is a problem that's been building. This is a clog that's been building in the pipe for 40 years. Right. And, and it just is, I get you got to play politics with it, but it just, I don't know. Do you understand what I'm saying? I, I think so. Like, The bottom line is no matter which way, no matter which way you go, no matter which way you go, it's problematic. Like there's no like good easy option anymore. So if you go hiking rates, that has all sorts of its own problems. But if you don't, that has all sorts of its own problems. Now, if you went by like the Taylor rule, they should they should raise rate. They should do like eight hikes. I mean, if you want to be real about it, if they want, if they really wanted to do something about inflation on from from like an old school perspective of looking at this.

you're talking like eight hikes. If they do one or two, it's just not going to matter. But if they do one or two, they can at least markets can be like, okay, they care about inflation at least. Because if they are demonstrably making it clear to everybody, we don't care about inflation, then markets have to completely change the way they do things. And that could get, that could get scary. You know what I mean? So like, I think it makes sense to not show the man behind the curtain. Don't don't you find the irony in the talk of we're going to grow our way out of it and we're going to tackle inflation and you're like, right? It's like we're going to live in old country buffet and we're going to get a six pack. You know, you're like, uh, I don't I mean, they've made it so obvious. The only way you're getting. Well, I mean, the only way you're getting the growth to grow out of this is via inflation, man. I mean, you know, let, let's, it's, I feel like we're playing like a third grade game of semantics here.

But politically, we know who wins and loses from inflation in a lot of ways. So that's the... Yeah. Yeah. That's an ideal thing to navigate politically. Now, at the same time, we got to give them time because I do believe that there's a bipartisan effort right now to reform entitlements and bring spending... Oh, wait a second. That's not happening. Never mind. I don't want to be too... I don't want to be too macabre and too... Negative here. Okay. Jokes aside, that jokes aside, that's where like, to me, the fact should just be like, we're raising rates a bunch. And if you don't like it, then, then maybe you

should do something about the spending Congress. You know what I mean? Well, at some point, what, you know, again, we're not the only people that have said it, but no, it's basically what Druck said in his op-ed. Yeah. Yeah. Well, I mean, we, we, you know, we've been saying that for years where look, you can sit there and you and I have played this game before too. And I obviously agree.

But you know, you look at a lot of the choices that the head of the Fed has and you wouldn't make, you know, a lot of people would make the same decisions. That being said, there's a flip side to this, which is to me, there is no question that the greatest enabler of fiscal profligacy in this country has been the Federal Reserve. And I'm not saying it was intentional. I'm not saying it was, you know, the plan all along while they petted their hairless cat and twisted their mustaches. But I am saying. There's no way we could have run up the kind of tabbed, right? We had a, we were over-served, right? The bartender certainly over-served. It doesn't absolve us from the crime of taking the drinks, but the bartender certainly over-served. They're like, the Congress is fixture to make sure Congress never has to feel the consequences of their actions. And that's, that's what, but to be fair to them, if just by their congressional mandate, other than the like, other than like going nuts with QE two, three or whatever, like, you know, if you're supposed to have inflation around two and keep, keep, you know, unemployment between, you know, three and a half and five and a half or whatever, then well, what they're trying to do. Yeah, they should know I know, right. I'm good for them, but, you know, yeah, well, and that's why I mean, again, not the first and I don't know who the first person is, which probably I probably dig into that. But, you know, I think the, I think the dual mandate itself was the beginning of a lot of bad things, right? Because I understand the idea behind it, and I think that probably the intentions behind it were good. But monetary policy is not a scalpel. You know what I'm saying? I feel like it's being nice to call it a shotgun, meaning it's such a broad-based approach. And to target something as specific as employment, Can you have an impact on employment? Yes, but my fear, and I think history has shown this, that the other, the radiation-like effects of that are more pernicious than the benefit that it probably gave you in the short term. Now, I don't think you can definitively make that argument because you can't go back and test a negative, right? But I mean, Enduring an extra year

of an unemployment above seven and I'm not I'm not minimizing We all know the rant that Brad Pitt went on in the big short I'm not minimizing recessions and the impact it has in the human cost and all that kind of stuff But I'm just saying it kind of makes you sit there and look at current culture and the current situation that we're staring down Not just fiscally culturally right capitalism being under fire all the different things that we're dealing with there's a culture and thinking and again you can't say it's a one-off and that it's but You know, if the choice was not dealing with this and enduring a year or two more with unemployment above seven and a half percent, I think that would have been better than dealing with what the cocktail were currently looking at. And again, that's kind of just some rantings of an old Federal Reserve hater like myself. But, you know, it's an imprecise science. Nobody will ever be able to figure it out. But I do think that Federal Reserve policies since the, you know, the financial crisis has created a lot of negative knock on consequences. And, um, and not in and of itself, these things are like a quilt, right? There's so many different strands and things coming together. The giant deficits played a huge role. Like everyone played the role in messing all this stuff up in the last 30 years. Yeah. Oh yeah. Yeah. Well, that's why I think it's so funny when.

Every single, you know, it's so funny because one of the ways, if somebody just dropped you down into American society at any given time and you didn't know where it was and you were trying to figure out which party controlled the White House, all you have to do is listen to which party is talking about debt and deficits. Because they are the party that's not in the White House, right? Every single time. And I was having a really good time on social media the other day. I was calling somebody out that was like railing against Trump for the debt. And I go, are we just going to ignore the fact that Obama doubled the debt? And he's like, oh, everything's under the Democrats. And I go, no, Bush did it too. And I'm sitting there waiting for them to go. This is what happens. Do you get it? Right? Do you get it? Right? This is not. Nope. Nope. No. Well, Republic and they just went right back on their rant and you're sitting there going, guys, if this was a one party problem, it would have been fixed years ago, right?

You you won. You got your and the deficits would be like a big sawtooth and not not just a runaway freight train. Right. Just boom. Oh, man. You got

to love it. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. Straight updates. Chase. You know, I don't really like to admit this publicly because it's kind of what we do for a living and I'm kind of paid to know these things I gotta tell you if you ask me right now what the current status of the Straits of America were I If if a if the strategy of this whole thing is to push out so much smoke that nobody knows what's going on mission accomplished because I Hopefully you can shed some light. What do we have? We should have like special music come on every time the straight comes on, you know Yeah, really, really dramatic. It's like thunder clouds in the back end. Yeah. Or maybe like kind of like something akin to like the Southern Cross from Cross. We still as a Nash, you know, it's the straight moment. Anyway, go ahead. So it is to be, to be fair, though, like it really is actually getting harder to track like truly because they have to obfuscate to get the stuff out at the end of the day.

I'll boil it all down to say we are roughly 7 million barrels a day less than pre-war getting out right now. If you want to boil it all down to one number, that is the approximate number you're at. We are definitely of late getting more out of the straight-of-four moves through the ship-to-ship transfer route. And I think part of the reason is because it looks like Iran themselves is laundering some of their own oil out through ship-to-ship transfers. Um, so that's why they're allowing it. So because, because when you look at the range, they just, they just hit a ship the other day from how far away, what was that? That was the Houthis and it was over a thousand kilometers from, from, from their territory. So the Houthis are doing a better job with their straight than Iran is with their straight, as far as scaring people away from using it.

What is the straight? What is the width of the straight at the widest point? Or no, at the choke point, at the tightest point. What is that distance? Isn't it 25 miles? 20 kilometers, something like that. Yeah. Oh, it gets down that tight. Okay. I thought it was wider. Okay. So if the Houthis are hitting something, a steaming vessel from a thousand kilometers away, the talk, the reason stuff is moving through the straight is not because Iran can't hit it.

No. They hit like one a day like that truly they hit one like every day But it's it's almost so they policy is to only hit one a day for whatever reason so they've got to be smuggling out their own oil Yeah, they got there's like a then There's a group of ships. They have not hit like it's a it's a particular grouping that's being used and and they all share a name and they haven't hit those once they keep hitting other stuff They hit one with with full of nap though the other day that ended up dumping some into the there's been like four or five spills now from these these hits, but It's just and it's about the same time every day that you just get one of their coastal defense missiles Comes flying in and takes it takes a ship out. I'm like truly like right right after our close almost every day one gets hit Maybe it's like maybe that's like part of like maybe that's part of like how you they celebrate birthdays Right, so like if it's your birthday you get a push the launch button, right? It's your shot to take the ship of the day type deal Get, get, yeah, get him up here. Get Benjamin up here. It's his turn. Watch the button. It's his birthday. Uh, no, at all seriousness. So, but to your point, if that, that being the case, then anything that's getting out of there has got to be something that they're looking the other way on. Yeah. And I think it's, I think it's mutual. Like, I think they're letting some of the other out with a wink to like let us get some of ours out. And I think both sides are willing to live with that. Um, for them, like they're demonstrating like to us, obviously, like it's It's completely unsustainable for us to like have a ship get hit every day. And for us to exert all the effort and the money to have the military oversee all this stuff every single day. Like, like the tax it's putting on us is significant. So like, so we can just do this for the next five years, like completely. No, like, right. But at the same time, like, they sort of kind of lost their grip on really choking it out. So neither side is really winning or losing on it. It's it's it's it's found an odd equilibrium where both sides seemed like they can live with what's going on at the moment, even though neither side could live with it long-term. If you told me that the current administrator or if you told me that at this point, if you told me that the Iranian strategy was to just bleed this out and drag this out and kind of win a war of attrition and to use midterms as a way to strengthen their hand.

It very much looks like that's what they're doing. We've made it clear we want to chill out into the midterms. My assumption is they have calendars too. They'll get around to amping it up a little bit before the midterms to add

some pressure. I don't think there's any doubt about that. How they do it's the other question. Yeah. Yeah. What about... What are what are there been some obviously a lot of interesting smoke and a lot of interesting things going on with discussions with Canada One of the thoughts that I heard the other day and it's not one that I'm extremely well versed in but It was an interesting take and I think that it's certainly one that should be considered And it was suggesting that it's quite possible that Carney might be playing a similar strategy as far as trade relations with the US goes and and the story that I heard or the rendition that I heard or was reading about, I think it was yesterday, was that both sides or at least the people that were engaging in trade negotiations between the US and Canada up until a week ago or whatever that moment was, thought that they had a deal, thought that it was done, that the story I heard was they were a couple little things that the US wanted, but they were seen as pretty periphery type things, and that somewhat, Out of the blue now this is just a story i heard it was running it not at all what i what my impression of it was at the time or or was in which is why i got my attention it ran completely contrary to my understanding i heard it was carney that pulled the plug on the negotiations and um pulled last minute in a way that really surprised and kind of confounded the us and that that really set trump off and the theory behind that was that.

That potentially that he's operating under the same assumption of don't give away anything right now When Trump's gonna have far less political capital in two months and I had not thought about that But then I looked at the posture that Carney was taking and I'm not I'm not saying it's right or wrong Just trying to read again. We can have a right or wrong discussion. I'm not I'm not afraid to discuss that I'm just trying to read the tea leaves here And after considering that take, I sat back and looked at the situation. I went, man, that's a take. I don't think I can completely discount. It seems to certainly be possible based on the information we've been given. Yeah. And I think after the midterms, we'll give you a better idea of what was real with that. Because both sides have pointed the finger at the other one to say, we basically had it. And then somebody came in at the last second and screwed it up.

Um, but just, just from the political incentives angle, it does make sense. And it even makes sense from, from the Canadian perspective to be like,

inflation is bad. America is probably about to get worse. They're about to have some elections. Like there's no reason to give in, in that environment. So let's not, you know, I think that makes sense. But there's also some rumblings all of a sudden of Canada potentially joining the European Union and stuff. So like they're being clever on. You know, looking at looking at some other ladies at the dance right now to to try to perhaps get get themselves a better deal. At the end of the day, I think I think it mostly comes down, honestly, to to the Otto's angle. Like at the end of the day, almost everything we get from them is just raw material stuff. That's not, you know what I mean? It's like oil, it's gas, it's it's timber, it's like some some metals. Yes. It's mostly areas where they have a uh you kind of go old school economics right like they're just better at it and cheaper at it than us like it makes sense for us to get it from them um if they start shipping their oil and gas and stuff abroad our trade deficit with them would evaporate like rapidly and we'd have a huge trade surplus with them um but a very unsatisfactory one because getting their really affordable oil and gas Uh, it's pretty sweet. So, and for them, yeah, I was going to say, we were on hydro power and stuff is great. Yeah. We wouldn't have any, we wouldn't have any shortages, I don't believe, but the prices of a lot of that stuff would go up. Conversely, prices of a lot of other stuff would go up as well. Um, yeah, they could, they could create an inflation problem for us if they wanted to. Yeah. No, I, I, um, this is why it's, yeah, this is why it's troubling to have multiple fires on different fronts and.

all of them, all of these situations that we're currently sitting here in, time is not on our side. You know, I mean, look at, you know, look at the Canadians, kind of a similar situation, right? Sit back and wait. I mean, we know that pressure is going to drive policy here in the US, at least in the short term. And well, pressure always right in democracies, pressure always drives policy. But what I mean is inflation is only going to add to that pressure. And as long as these things stay in limbo, those are inflationarily, they're inflationary, they're not deflationary, that uncertainty, right? Even just the uncertainty alone. So it's a bad time to add another inflationary thing to the inflation stack we already have. And from that perspective, it may be a reasonable bet on their part to that. And I'll be honest, like my view of this was that these deals with Canada and Mexico would probably go smooth because because of the midterm calendar and the other inflation

we already have. So the fact that it isn't going smooth does surprise me. This is one of those, I can't help but to think, if I could give just some basic political advice to the administration, I would just say guys, this sort of reminds me of Black Hawk Down, right? Meaning you came in with this initial idea and it ended up you truly to the definition you know true to the definition stirred up hornet's ness and um your battle ineffective right like every you just it's why i would just say look maybe not maybe not admit defeat or whatever but just you gotta you gotta put you gotta pull back out of theater and regroup at the very least i you know what i'm saying it just feels like this is just we went from You know, to use the Black Hawk down analogy, when I'm there to go get General Ata, I think it was his name, or Farah Idid. Farah Idid was the guy that they were after Idid. And went in there for a quick excursion. Pretty soon we got snappers, air supporting, two down choppers. Do you know what I'm saying? Where now all of a sudden the warrior fighting is completely different from the intended one. And you got a mess on your hands. And the temptation is to treat it like a grease fire, right? And hit it with the, oh, bring in more towels, bring in more sorties, bring in more bombs. And you just keep flicking flame all over the place. And it just feels to me like that's what's happening. And your hand simultaneously, the more grease fires that pop up, your hand and your ability to deal with the original one is ever decreasing. Again, I just keep going back to that. It just feels like we're just bidding against ourselves, man.

Speaking of war, I want to mention this before we because I don't want to let this get away because it's important and that is as I want Palladium being up a bunch and I think it's at least yes, yes New Russia risks I'm sure everyone saw but like the CIA director flew in kind of like unscheduled unannounced on a C17 Into Moscow and it looked like Moscow didn't even really realize it was gonna happen until the last second Nobody agrees on what happened how that all went down Some people think it was about Iran, some people think it was about NATO stuff. What I will say is there's been leaks of late from US intelligence making it clear we think they may do something against NATO, whether that's UK or some of the Baltic states or something like that. Easy to dismiss that they would do something big here. And I think a lot of people are just going to that. And I think a lot of

people look at what's going on in Ukraine and they're like, man, they can't even beat Ukraine.

What are they going to pick a fight with NATO? Like doesn't seem smart. Yeah, but, but yeah, but why can't they win a fight with Ukraine? I think that's the issue to be fair. Look, I have a horrible, I don't, I'm sorry. I don't mean to cut you off. Go ahead. No, I'm just going to add one aspect of this that people need to think about. And it's, it's similar to what's been going on with, with Iran. If you remember going all the way back to the very, very beginning when the Iran war started. The one of the biggest things for me was the missile math that it wasn't good that we already were low on interceptors. It made no sense to use use up missiles and interceptors and something that was not strategic. Now Russia would be strategic, but that's a different ball game. Russia's can manufacture way more missiles than we. And when I say we, in this case, I mean NATO can manufacture interceptors and our interceptors aren't even that good. Like I think people don't realize that, but.

So if, well, to be fair, hey, but it was simple, simple analogy there. The Patriot missile was active in the 1992. Right. Now they could have upgraded its guidance system, all that kind of stuff, but we're not talking tip of the, yeah, we're not talking like, we have six months. We have six months to look at. It's, it's very expensive. It's not that effective against really good stuff. Um, and Russia's not churning out an insane amount of pretty effective missiles. So like if all of a sudden. Russia decided to go for it. It would be difficult, really difficult on the West because we don't have the interceptors because we used them all in this Iran thing. So you would rapidly be basically out of them, and they would still have a ton of missiles. And that would be, sure, you're big and bad. You got the bombers and this and that. If they had a bunch of missiles and you can't do much about it, you have a problem. So I'm not saying this is going to happen. I'm not saying it would...

by any means be a smart thing for Russia to do because they would pay an immense cost still, but like, but it's not impossible. And they do have that massive missile production advantage, especially if China got involved. Then I mean, that'd be obviously horrifying. But I just want to put that out

there. Like it seems like US intelligence is pretty dang worried about Russia getting more involved here. And I I'm not saying that as a probable thing, but I it shouldn't be dismissed as a you know, 5% chance or less kind of a probability. It freaks me out of the play to him jump the way it did. Yeah. Did you hear, and I can't confirm it's just rumor, but I heard that while that CIA boss was on ground in Moscow, that Ukraine paused all offensive operations. Did you hear that?

We went out of our way to ask them to do that for a few days so that we could, you know, get it in and out safely. It feels like, uh, it feels like we've got a pretty big sway on what's going on in Ukraine right now. Yeah. I mean, absolutely. Like in that case, even if we asked Russia for something like that, they'd be like, okay, like it, it just, that's like common decency. If we're going to send the boss in on a plane, like chill out for, so you don't hit him. Like that, that thing that. Maybe no, but maybe it may and maybe look maybe this is conspiratorial whack job Alex Jones or stuff or whatever but the CIA boss lands in Moscow and we simultaneously get a pause on the Ukrainian front. I look Ten foil hat moment here not saying this is the case at all But boy does that throw some fodder at the folks that are in the camp of the CIA is controlling everything and the CIA is controlling the the And the current war going on in Ukraine and, you know, with the Ukrainian war. Yeah. I'll definitely push back on that. I mean, I think it's just as simple as, you know, if you're, if you're going to have some high level official fly in, you can't have drones and missiles all over the damn place. So, and it wasn't like, it wasn't like a, it wasn't like a real pause. It was like long enough for us to get him in and out, then go back to doing that. That was my initial read too. But it was one of those where you see it and you go, All right. I don't think that's what happened, but I do understand how that's going to stir up a whole nother. You know what I mean? It was definitely us in Europe are definitely pretty involved. Like, I mean, mostly to learn like the combat Darwinism that is taking place in real time. If you're not learning from that, you're an idiot. I mean, it, it's, it's changing so fast. Not, not, not to learn, but boy, it really caught man. That situation is such a moral conundrum for me.

because I am obviously sympathetic with anybody defending their homeland, right? I almost feel like you got to break it into two different

discussions, which is, you know, talk about the merits of the war as it relates to Russia and Ukraine, and then talk about the merits of the war as it relates to everybody else. It really seems to me that you're at a point where help, quote unquote, helping the Ukrainians might actually be hurting them at this point. Was it just the other day that they were sitting there making a push or somebody was making a push for women to start? in listing for service in Ukrainian army? Really hard, yeah. Dude, like what? I mean, what are we going to wait until they literally, just there's nobody left? I mean, right? Well, in the only way they're being able to, they're able to continue is because we're propping them up. I mean, not just we, but you know, the collective we.

Is that the right thing to do at this point? I don't know. I'm not saying I know. And anybody that sits here... Oh, you're wrong about Ukraine. To be fair, they're doing way more on their own now. We don't really help that much. Now, Europe has taken the baton and helped way more. We basically help with intelligence almost only. Well, that's a big deal, though. It is, right? Just like Russia's helping with intelligence and China with Iran. That's an area where I give Trump a lot of credit. People are like, oh, can you believe China's helping? And he's like, yeah, like, whatever, we help to like, we're both doing stuff like that. I appreciate that realism from him. Because it's like, yeah, like, this is just how it works, man. Like, no, we're all fighting proxies. Just no point in pretending it's not happening. I know, but I just you're getting to a point in a proxy for proxy war with Ukraine, where you're sitting there going, hey, guys.

similar, you know, I feel like there's so many of these similar situations going on right now. I think it's important to remember what trophy it is you're fighting for. Meaning, do the winnings justify the costs? And I'm really wondering how you can sell me and the rest of the world how continuing this war on against Russia is doing any of us any good. And my favorite is that it's ushering in worse outcomes. You could flip it like why it's doing Russia. You could. I just No, no, I can take West Virginia of of you know of Europe like well, it's more like dude I mean to their game of monopoly Ukraine is sort of like boardwalk You know, I mean, I'm not the only you know, there's been people far I I can't remember who to attribute this to but there are some very Well thought of respected people that have

very you know, well well respected and experienced You know resumes that have said that you know if Russia were to add Ukraine that instantly reinstalls them in the list of superpowers Because of the natural resources of Ukraine That's it seemed hyperbolic to me to be no Well, it seemed hyperbolic to me too because you're sitting there going guys just compare landmass here, right? Like I know it's not easy. That would be one thing but you know if you're gonna if it's a million casualties to take a small chunk of land that is actually not strategic, other than giving you some depth. But as soon as you get the depth, now you just have a new depth that you need. I think it's been a catastrophic mistake for them. But to the point I think you're making, though, all of a sudden, we're helping on the intelligence side with these deep strikes that are hitting economic stuff.

The UK is helping with the technology side on these deep strikes. And that's an area where Russia is kind of getting to the point where they're like, whoa, whoa, whoa, too far. If you guys are going to start hitting Moscow and stuff and dramatically hitting us from an economic standpoint, you're pushing it past anything we are doing. So if you're going to do that, then we're going to escalate. And not just with Ukraine, but with you guys. I don't think that's insane from their perspective. It's just hard to figure out what Russia would actually settle for and walk away with and what, obviously, the same thing, what Ukraine would be willing to give. Because if Ukraine is going to stick on, we're going to give nothing. This is going nowhere. And if Russia is going to want territory they haven't actually physically conquered, this is going to go nowhere. And that's where we're at. It's gone nowhere.

But this escalation risk is real and it's it's it's uncomfortable It is uncomfortable. It's funny. I got a I hope I'm not speaking out of turn, but I got a I've got to get back to him, but I got a good text from our good buddy Demetri Kofinas today and he and I haven't even read it yet I've been too busy, but I the part of the text I saw was just that it feels like we're entering the stage where really bad things can start happening and So I'm I'm I love always love bouncing that stuff off with him because he's such a You know bright bright mind and thinks about things in 3d so well, but I'm with you man. I think uncomfortable is the right word and I think you the more and more You know and you want to pull out the hilarity because you know that

that's the other tough It's it's hard. I don't think it's ever been tougher than it is now to extract signal from the amount of noise that's out there on on all you know on all levels right like you know, you've got the The Tucker Carlson's on one side of it who I think are more of the alarmist side And I don't mean that to disavow everything he says. I think some things he says are spot-on. I think some things he says are a little over the top But you know talking about the potential of this leading to something nuclear and While I don't think that's likely And I think it's highly unlikely. I was also the guy that it was telling you I thought you were out of your mind thinking that we'd go into Iran in the first place, right so Um, it was funny. I was listening to an interview with Daryl Cooper recently and I, I was pretty sympathetic to a lot of things that he said, cause he's like, look, I don't think these things are likely, but he goes, I feel like every time I say that now they'll never do that, then somebody's like, hold my beer. Right. And, and to me, to me, some of the most important stuff in markets is the high, high impact, low probability stuff. Like if, if you're able to, to like, Dodge those punches or take advantage of those events because it doesn't take much to do it. You know, this is the perfect example going back to palladium. You know, Russia produces 40% of global palladium. If you just had some calls on palladium just in case, like what that could do for you if everything else, you know, was having problems because it was so scary. Like it's a perfect example. Okay. So you did it to work to matter.

You did it. So if, if, if people think we're monsters, it's all your fault. But let's have a discussion about this. Okay. And the reason before people jump off a bridge and go, Oh, you guys are those evil capitalists trying to, you guys are like the guys who shorted airlines, right on, you know, before nine, 11. No, one of the, one of the weird things about doing what we do and especially managing retirement money is you're not sitting at the, looking at these things going. You know how do we profit off of nuclear war or a military you know i'm saying or humanitarian catastrophe at the same time. My clients still need to retire you know i mean like we still are regardless of what happens we have still been asked to be fiduciaries and the shepherds of their money and making sure that they can still fulfill their plans so let's have this conversation and we can do it in real time because it's one that i don't think that you and i've ever really had in this way.

If we are looking to make a portfolio, disaster-proof, obviously we don't know what that disaster is, but let's start throwing around some ideas of what you'd want in a portfolio right there. This is one of the reasons I love working with you and why we started working together. I wouldn't have thought of that. But yeah, if you think heightened conflicts and conflict escalation is a risk, which it certainly is, Having calls on Palladium would be a great thing to guard against that I would think that owning critical minerals as it relates to trade would be important right anything that is that is highly sensitive to geopolitical risk like things that only a few places in the world have therefore making their global transit really important Palladium would be one of those. What are some of the things that would fit into that category at tungsten tungsten is like incredibly important for munitions. And it's a pretty small market. So like, whenever wars can get hot, tungsten can go crazy. Now, when they cool back down, it gets smashed. But in this case, you know, talking about Russia, Ukraine, both are both are pretty significant wheat producers. So if they stop, and this is already happening where they're disrupting each other's shipments of wheat. So like, and you can see it in the price. That is the kind of thing where like just some Just some crazy calls just in case, you know, with a very small part of your portfolio where if it goes to zero, who cares? Um, can, can make sense. Obviously energy could end up playing a role. Um, I think, you know, and we already thankfully have this one, but European defense, right? If, if all of a sudden you have Russia and Europe going, going toe to toe, uh, we already have a nice little bump in, in defense spinning in Europe that would go, you know, Then it would be like a mobilization like all out. We got to go crazy here and build as much of our own interceptors as possible. You know, next-gen interceptors. I think China would be selling stuff to both sides at scale probably quickly. So if you could get any exposure to that stuff, like, would be great. And then yeah, energy markets obviously, given the role Russia plays there, would be important place to try and find some, some convexity and asymmetry. Like there's just all, there's all kinds of areas that you can look, basically where do, like whoever's fighting, where do they punch above their weight, you know, and making something? Cause if that, if that gets knocked off line, um, yeah, power plants would probably be targeted, things like coal could go crazy for no other reason than that. As you approach winter, like there's, but I'll be clear, like I think this has to be a scenario analysis thing where you're like,

specifically what are we talking about? You know, is it just that you'd have to make like, is it just Russia Ukraine? Is it Russia? Is like, is UK involved? It's like Estonia, Latvia, like. Well, this is the pernicious thing about it that makes it so tough is in my opinion, and it's still useful and useful or worthwhile exercise because we have to think about worst case scenarios and we have to think about tales because think about tales. They don't happen often, but they do.

And that's what makes us so tough though because the minute one of those escalatory triggers are pulled the whole world instantly changes at that moment, right? And then therefore the ramifications and the fallout from it, I mean by definition are unpredictable, right? It's scary to think about, but I think it's one of those things that you have to war game out just because nobody's done it before and I heard another conspiratorial remark that I hope is untrue that there had been internal documents or maybe we received them from somebody else but there were internal documents that had suggested the potential of use of nukes either in the Gulf or in Ukraine. Maybe it was just a simulation. I don't know any... I hate saying these partial things. I know you're sympathetic but we're weed so much over the course of a day that you've got all these strands floating around and you don't want to You don't want to mix two together and you don't want to overstate them. But when you see significant military powers that have substantial amounts of political pressure behind them, and I think you can put everybody involved in this current situation in that category, right? When several of those powers and players are nuclear powered, You know, I mean you you have to you have to think about that I think a lot of people would do knee-jerk reaction and say you need to own gold and silver I would certainly want look I'm gonna want gold and silver in a pretty evergreen presence in my portfolio being an evergreen presence in my portfolio for the foreseeable future I'm not at all sold though that they would perform extraordinary extraordinarily well in that circumstance No, it would be very inflationary which I know that sounds like that's when you want it, but it usually isn't. It would depend on the policy response to the inflation, but... Well, it's very inflationary and requires a massive amount of money to move to places that it previously wasn't. Right? Which means... Some countries would have to cash in their reserves to spend on the military. Of course. Right? Poland owns a lot of gold.

Poland's on the front line of this thing. So Poland might have to be like, all right, sell a bunch of gold and let's, let's start building, uh, you know, more drones or whatever, like it. So that's something. Well, the other thing that you have to think about is like, again, is the, and you hate breaking it down, but again, this is the lot we've chosen and we have to think about things, these things this way. That's why we get paid. Um, but a lot of the ancillary impacts of war can actually be incredibly, have incredibly deflationary impacts at first, right? Because. Think of the I mean when you see they used to tell the private sector they couldn't do stuff because they had to go to the military right now I don't think politicians have the guts to tell the private sector They can't have something you know like back then it was like you can't have rubber That's just for the military now feel like right. I don't know. It's just hard to imagine people being like Sorry, you don't get gasoline today because the boys needed overseas, you know, like people will just have a riot to be on Instagram and like Well, that's yeah, that's enough. That's that's another thing is we don't even think about that. But culturally, what would the response be? Especially when it's this is directly us involved, you know, it's just like a people because it's so easy to picture people in America being like, I don't even know where Stonia is who cares about that. You know what I mean? Like that kind of stuff. You know what's you know, one of the toughest things I find and and I think it's life in general.

And I think probably it's, I think about it more related to finance because that's the lens I'm looking at through all the time. But one of the things that is much harder than I thought it would be is to be going through current events and trying to correctly decipher the historic significance of them. Meaning when you look at things in hindsight, it is so easy to look at them and go, what were they thinking? because you can see that your post facto looking at the way the dominoes fell, and when you're looking at them that way, there's no other way they could have fallen, right? Like the only way that domino went down, how'd that domino go down? Well, I'll tell you exactly how it went down right there, duh, right? But at the time, you don't know. And this goes back to- The best example of that. It doesn't make any sense.

going back. It's such a wild series of events. That's the ultimate. Do you know how many times, as being a military historian, not a historian, that's too grandiose of a title, of a guy that loves reading military historians and the amount of time I've spent digging into World War I and I still can't fully explain to my children how it started. You know, all sound really smart throughout the Archduke Ferdinand deal and talk about the Canadians role, you know, you talk about the ancillary stuff and, you know, how we settled it, but, but as quickly as I can, I want to feed right into the Weimar Republic and I don't want to stay there too long because it's so, I mean, talk, yeah, I talk about a mess. Um, that is the, I literally watched documentary, I literally watched a documentary like five days ago while watching dishes because that's what I do.

And they explained it really well how like each first the first like 10 dominoes went and I already couldn't tell you how the dominoes I know I know it was so crazy. It was so it was like it was like these little moves where like One side was like, oh, I didn't think they were gonna do that It was like where like the Austrians jumped in and everyone's like, oh, okay I don't think they were gonna do that and the Germans jumped in and everyone's like, oh We didn't think they were gonna do that. So like then everyone's like, well, I guess we just have to have giant war about it That's where like those those alliances can get nasty. We're like, well, we promised we'd have your back. So here we go. Yeah, boy, that's you know, man, that's funny. The older you get, the more experience when, you know, I guess when we're all young, we think like this, but you hear, you know, a defense guarantee, we're going to have their back. Yeah, we should have their back as you get older. You're like, Oh, hold on.

People like, what do you mean? We have one of the Philippines, right? Like we have one with the Philippines. And if China really started getting after the Philippines, like, really, that's what you want to do? Well, I mean, you could make an argument that the Philippines may not even want us to get involved at that point. Do you know what I'm saying? Like, do you think they want to be the staging ground for the war or the conflict between the United States and China? They'd probably be like, you know what, we're good. Thanks. No. No, yeah, who wants to be a man? That's like being king of a burned down kingdom. You know what I mean? Yeah, nobody wants

that real estate post post action. No, man, it's it's a it's a it's a scary time. For sure. And you know, I think one of the things that makes it so scary is the cultural backdrop, meaning, look, you can say whatever you want.

politically speaking, but I think it's a really tough argument to make that culturally the West generally speaking, whether it's us, whether it's Canada, whether it's Europe, right, where the West culture is in a place that can sustain and hold together through crazy periods like it has in the past. I don't think it can. You know, I think major geopolitical issues could lead to like, riots in the streets here in the United States to the, to the level that, you know, I was sitting there watching a clip of a podcast the other night and look, there's, there's, there's plenty of these cranks and whack jobs on all sides. Okay. So this is not a political statement. This happened to be some folks on the left, but, um, you know, committed DSA folks that were saying, listen, we need to really lead a revolution. This had hundreds of thousands of views, by the way, this isn't maybe even millions. This wasn't some like back channel.

I mean it is these weren't like credible people that play a current role in the dnc or something like that i'm not trying to say that but um they were talking about revolution and um and being bloody and uh armed conflict and inside the united states and um and again that's just we don't want to make it hyperbolic you can find nut jobs on any every corner but we all know that we hear these rumblings we see that um i don't think that's just around the corner But I mean, you can see the smoke from here, you know, like that's not even possible. Darius Dell was on macro voices this past week. And he's talking about a study that was done basically that looked into like any time you get into these like wealth extremes that we have in the US right now. And like just looking back over that are similar events over like whatever, however many hundreds of years, all the times has happened in other places around the world. And he basically went through, you know, it's usually pretty bad and a lot of times it is violent. It's like a genuine revolution or the way he put it like or they put it in the study was like if you don't have downward mobility from the elites that is sort of like elected then you're going to have it you know with the pitchfork kind of kind of thing like once it gets that extreme it starts tearing the fabric and something something will happen like if and I think that downward

mobility of the elites part is, we've talked about it many times, but like if you don't get one of the Roosevelt kind of events, whether that's New Deal or, you know, I had to trust or whatever, like then you're going to get something uglier. Um, and I think it's just, I think we missed that the way it goes. Well, and I think we did, and I honestly think it's funny how history repeats itself because I think, um, and we, I mean, this could go in 18 million different directions, but.

I think we miss that moment culturally. I think that look, I'm not saying Trump was that figure. Now, what I will say is any historian has to be somewhat fascinated by the incredible parallels of the of the rise to power. I think they're incredibly different human human beings, but the rise to power of Trump and Roosevelt and the reasons that both got elected. And I think Trump was our Roosevelt moment and we picked the wrong horse. Yeah, I mean it's definitely that populist like moment where someone has to jump in and do some big stuff to reorder society to like to change that that that big chasm, but Maybe we chose the wrong and when I say or maybe the elites just aren't ready to give it give anything yet And that's that could it maybe doesn't matter who the horse is, you know Well, it may not but I will say that when I say the wrong horse, you know, I'll reiterate I voted for Trump three times I'm not an anti-trumper by any stretch of the imagination voting for him three times obviously, but I will say this Look my fears of Right when I was voting for Trump You obviously see what you hope would happen and what you think can happen on the positive side and you all see what the negative side was my hope was that Trump was rich enough not to concern himself with enriching himself. Look, I don't think you have to be a suffer of Trump derangement syndrome to sit there and go. I think that ship has left, at least certainly in the second term, meaning not only has the guy crossed over some lines, he's hustling, right? I mean, he's been points on the board like he never has before. And so Roosevelt, at least to my understanding, He was so much more driven by principle and honor and the traditional things. And I honestly believe, and this could be me buying into the mythos around him or whatever, but I honestly believe that given the choice of richness and honor, he would have taken honor every single time. Right? Probably without a thought.

That's just my belief. And so I'm saying, I think that we picked a candidate for history repeated itself for a lot of the same reasons. We just didn't get the same guy. And my feeling is, my fear now is, is that the culture is saying, look, capitalists and free market people, we tried your solution. And the guy responded in generating three to 4 billion of profit for he and his family while he was in office, right? Further cementing our belief that we need to rip this whole thing down and replace it with socialism and communism, right? That's my fear. And and that was my fear from the very that was my fear from the very beginning if Trump doesn't do what he was hired to do And if he is not who he presented himself as being I think we're gonna be in a very dangerous place by the time he's leaving office and unfortunately to me It would I still vote for him against Kamala Harris? I think that yeah, I think I would Do I well no I don't think I ever would have voted for Kamala Harris. I'd have to think about that. Maybe potentially I wouldn't vote. Now, I don't know who know, I'm trying to run through my own personal situation here on a podcast, probably not a good idea. But I'd like to be as honest and forthright as I possibly can, you know, and not try to play the hindsight game and So we know a lot of people that, we know a lot of people that have podcasts that when they get things wrong, they try to erase them from memory and erase them from social media. If we get things wrong, I just feel much better just being like, yeah, I ate that one, you know? Yeah. So let me add a few things here. One, like some of this is just the moment, right? Like you're at the end of this long-term debt cycle. We're at the extremes when it comes to labor versus capital, we're at extremes when it comes to rich versus poor.

All these things we know, right? And unfortunately, it's never been easier for people near the bottom to really just get messed up, whether that's easy access to drugs or stupid social media. It's easy to fall down a hole and not get out. What I'll say is not only... So Trump really ran on a lot of really good stuff as far as it came. Like, hey, here's how I'm gonna help the working man out. You've been forgotten, I'm here to help you. And then just obviously not really delivered at all. But in addition to that, I think he has kind of ushered in an even worse environment when it comes to trust. And I don't mean just trusting government, although that's a big part of it. But let's just trust in society, like how we trust each other, how government trusts us, how we trust government, how we trust corporate America, how corporate

America trusts us. We are just getting lower and lower trust. The incentive for let me get mine is getting higher and higher.

basically like the teamwork, let's do this together stuff gets lower and then like let me get mine so I could build a gate around my house kind of thing just gets more intense. And I think that combined with the, you know, the extremes on both ends is a nasty combo. And I think it kind of goes back to, so I think you either get something very productive where you get a responsible recutting up of the pie while you keep trying to grow it. You get the ugly, hardcore socialism view of like, who cares how much pie is left, but we are gonna change the way it gets cut up. And then there's the cuppy thing where you just end up looking like the worst of Latin America where you have the gated communities of billionaires and everybody else just fending for themselves in the shanties.

It feels to me like America won't go that route. I don't think we're capable of going that favela route. I think everyone would just burn the place down before they got to the shanty. So hopefully we can do the responsible re-slicing of the pie while continuing to try to grow the thing. It's one of the smaller pie that's chopped up better. I don't disagree with you. And it's one of the reasons that I still engage on social media and I try to be as nonpartisan as I possibly can be because look, it's just one guy with 10,000 followers. Like I'm not, I'm not making myself over important, but I do think that in those little everyday exchanges when you can help shed light on things. And again, I don't, I'm not saying that I haven't figured out at all. What I do know is that a problem is impossible to fix until it's identified, right?

And the problems that we have in this country have been created by Republicans and Democrats. Full stop. It is very unwise to hire the same people that create a problem to fix a problem. And what people need in this country to understand is that the biggest enemy to all of us is the Uniparty. Neither the RNC or the DNC will fix it because they are the unit party. That's who wins. They are the capture by it. Exactly. Yeah. Right. The answer is not to get more white extremists and talk about how we need more white people in this country. The answer is not the DSA and communism. Right. The answer is pivoting back to the same practices and

policies that built this country and built the biggest, most thriving middle class in the world.

We do need to reign in the elites and do things that risk us being called socialists. At the same time, we need to bring back common sense practices, discipline in the educational system, accountability as it relates to entitlement programs. We need to do things that are going to make us be called dirty capitalists. We need to culturally restructure and reform. And it's going to be an extraordinarily painful process. I do see an opportunity here, though. And the opportunity I see, you need to get the right, you know, this message needs the right apostle as every message does. But the one, if framed correctly, I think the Trump administration, because of the unique aspects of Donald Trump as a human being and his strange ability to be incredibly...

Fourth right with certain things like you said like you know there's a lot of times where you're like you're used to Trump spinning his own story You know doing his Trump thing and then he'll just drop these truth bombs out of nowhere, right? I think those truth bombs as well as his kind of openness and flagrants about how much money he's making is Happening at the same time that we have social media accounts tracking Nancy Pelosi's trades, right? And there's an offer but we have this mix of these just grotesquely, like buffoonish and garish, and what's the other word, gauche, right? Garish probably doesn't fit nearly as much as gauche does there. But on both sides of the party, and you've got this unique opportunity because of Trump's personality to actually have it be less opaque. I mean, you can see through the window, you can see the strings, right?

And you and what you should be realizing and this is a guy that was a lifelong democrat that's now flipped to the republican in that way He's the perfect poster child of this of hey guys We don't have an answer the people that are saying that they've got answers. They're all the problem Right and their biggest incentive is to keep the game going. I mean if you look at Nancy Pelosi and her trading record Do you think Nancy Pelosi has any interest in reigning in? the elites or the upper class or where she, I mean, come on, Trump the same way. I mean, they're kind of the same cloth. Yeah, they may as well just run their own, you know, fund together after this term.

I'd invest. I'd invest. What else can I say is, this is so easy to see and a perfect way to illustrate it is, if you remember, Silicon Valley all went all in on the Republicans whenever they realized what was about to happen, right? They're there, they're all the front row, You know, on the inauguration, well, guess what they're doing now? They're starting to see the writing on the wall and they're starting to throw money at democratic causes to basically part of it's going to keep themselves out of investigations and fines and jail and in the whole nine yards, right? But but this tells you, and do you think the Democrats are turning that money down here? Right? No, not at all. Like they would love to get those guys back and it's it's that capture, right? It's the elite, the rich have captured the government. So like It's it's it's like the old political cartoons of you know Rockefeller is like the you know the octopus and everything like the tentacles and like each other the important parts of government or whatever like it kind of is how it is like and and that stuff has to get rained in or You know like the the the welder down the street and the barista and you know the airline pilot or whatever like these people don't have These these avenues to to power right they don't have they can't pull that lever the way you know some Silicon Valley CEO can and and they have no Hey the game well and to that point and I'm not asking anybody to feel sorry for me here, but it's it is a like It is bizarre how dislocated that is got like for instance I'll use myself as analogy If you had a billion dollar firm in the past in a state like Washington, you probably swam in some circles, you know, where you had the ability to have some political influence and rub elbows. Dude, the only only reason I'm even involved in the political fight is because I've put money up to stop an illegal income tax, meaning the level of wealth that you've got to have to have political power or access now. And I mean, to have it big in the past, that was always the case, like in places like DC and stuff like that, but in like local government.

State government, still, if you don't, if you're not a cent a millionaire, you don't have any stroke in that game. That didn't used to be the way at all. Right? You, I mean, the guys that made, so if you're a working person, you have none zero. Yeah. None, none, none, except a bunch of politicians that are lying to you, telling you that they're going to represent your values. Right. And what all that shows, what's good for you. And what, what we have, it shows. Yeah. Yeah, it's the it's yeah, it's the death of honor. It's the

death of It's it's malignant narcissism being like the the number one thing that you need to have on your resume Anyway, other than that though things are going great, right? Yeah, I we got to do a Friday show where it's all pure optimism Can you can you handle it?

Can you? Oh, yeah. I mean, I don't know. I mean, look, I'm an optimistic guy. I can get fired up. I think my team's going to do some serious BTA on Sunday. All right. Well, that's the area where I can't get optimistic, but no, no, no, I'm in my youth football. I know. I know. You can. Speaking of which, man, my offer to have you sitting in the, you don't have a shortage of athletes on the roster for the Cleveland Browns is as it relates to the quarterback position, man. Yeah, I told you he's that was the in receiver. Yeah, I thought I thought that that was was that to do that to Arkansas? Yeah. Yeah. OK, I thought he was coming into the league as a receiver. Nope. He's legit. Well, clearly not. Yeah. Yeah. But he probably should be. Do they think he's a legit? I was going to say he's a legitimate prospect or yeah, but it'll take time. That's why he's a six round pick. Kind of reminds me of a Terrell prior. He's.

Extremely similar to trial prior, except the better athletes still. Really? Wow. His combine. If you look at his combine, like scatterplot, the single player he's closest to literally is Calvin Johnson, which is crazy. But oh, wow. Six, six, six, six, two, two, 40. And he runs a four, three. Couldn't you have like a forty two or something? And he has, I think it's a forty three inch vertical to you. Good. But you know, it's but quarterbacks a hard position like he. The one like real drop back pass you had last night didn't look that great. So he has a long way to go. Yeah. Now, what did happen last night is we had our first, uh, first eighth grade scrimmage, first live fire of the year. And, uh, we threw for about 60% completion, three picks, no touch or three, three touchdowns, no picks. Um, pretty good showing pretty good showing for the young boy. Yeah. Throwing the rocket.

Yeah. Yeah. And, and, you know, they weren't really cutting it loose, you know, so he was, yeah, he had, he had, and they were, and they were legit too. He had one deep 20 yard crosser across the middle and then about a 25 yard go route that he hit in the corner of the end zone. So that was good start. Good start. A lot of, a lot of work to do though. Yeah. We got to get

that footwork tied in and it's so important. We're going to talk and, oh dude, it's, it's so funny. The minute they get under duress. The base just falls apart, right? And they're moving. They're not loading their shoulders, you know, all that kind of stuff. So it'll be fun. It's kind of weird for me because it's kind of like seeing football through a completely different lens because we're working on so much of this stuff that it has no, I have no relationship between these things in football. Right. It's just, it's not what I did. I was a running back and a linebacker. And so it's really weird getting thrown into this completely different world of looking at it through a quarterbacks lens. And I've never done that. And so, uh, You know, we're working with some other guys trying to give him. He's pretty serious about it. So we'll, we'll, we'll see where it goes. But so far, so good. Then my, uh, my, my, my team, I coach plays, uh, Sunday will be our Jamboree. So nice. And if, if no, I peep, people didn't realize, but they, they joined into the fourth and 10 podcast here, uh, where we discussed football full stop fourth and 10 full stop. Um, anyway, man, Hey, let's I there's so many different ways and I kind of want to I kind of want to do this Kind of lean into this new format where Monday through Thursday's, you know kind of keeping it short and sweet Doing the market recaps like we've been doing and then kind of having a little bit more of a global approach on Fridays working some working some interviews potentially some guests for some shorter form, you know still long stuff Maybe 20 to 30 minute conversations things like that, but and I kind of feel like this is the perfect week to kick it off. There's so many Macro discussions and and I don't think there are a lot of really micro ones that have grabbed me or interest me at the moment I mean there are but they all seem to pale in comparison based, you know, and it's it's so funny man You go through such long periods of times where there really are no macro wins, right? You feel like a sales a sailing ship stuck in the doldrums, right? You just you can't you're all blowing into the into the sail, you know, it's dead water Um, and then you, you know, eventually you come out of those environments and it feels like everything, to look at anything else seems like a myopic worldview because the macro implications are so large, right? Um, and I kind of feel like that's where we are. So without further ado, man, let's hit the rundown and start from there. Yep. So we'll talk about why obviously with the macro stuff with the, with the Fed today, but S and P closed down point two, three.

a little worse for equal weight. The Q's down 0.65. The worst was small caps down 1.4. Bitcoin down almost 4%. The only thing that was really green out there was Mac 7 and up about 0.7. All World XUS down 0.4. The dollar was up almost 0.6. Everything but Nvidia and Tesla did well. Nvidia was down 4.5, but they were big the day before. Amazon the big winner on the day up about 4. I would say the biggest news of the day, the two year yield up a 13 basis points. The 10 was up five and the 30 up two. Interestingly for me, and we'll talk about it later, but the biggest one there for me was the 10 being up five, given what we had today. A little surprising to me. Oil essentially flat again, though gasoline futures up 2%.

Gold down about 2.9 that was over three at one point silver was down over three at one point after being up like three Closed down 2.4 gold miners down 3.9 Platinum flat palladium up almost 7% and we should definitely talk about that in my opinion palladium up 7% because of a Russia risk that has been feeling more and more real of late so that That is a very notable price move for palladium today vol up about one and a half percent sub 17, um, spot big sub 15. That stuff's still very chill. AI mostly was bad today. Chips down three and a half, DRAM down almost two, uh, bloom energy. One of my other just kind of proxies I follow for AI down a little over three. So the only good news I had to report really for, for us was like some ag stuff, good and some software stuff, good other than that, mostly a bloodbath for us today.

Yeah. Yeah. I mean, it was a fun day. Hey, the only thing I will say is that I said, uh, I'd hold off on buying them here and wait till there's a little bit of a pullback. But wouldn't you know yesterday on the dots, I spent a lot of time about talking about cold miners. Oh man, that was hilarious. Perfect timing. You got to love markets, man. Oh, but, but to be fair, this is precisely why I said, well, hey, I wouldn't be loading up here. Wait till you see some softness or something like that. Uh, didn't realize that that would come within less than 24 hours. Yeah. We got to do that. That would be fun. Uh, you'd be my director of research and my director of scouting. So do I get it in I'll do pretty good niche.

I, I, I already see you walking around with bulwark sported stuff, man. I feel like I've been NIL on the heck out of you, man. I think there was a new,

a new, some new swag coming out soon, which I get disproportionately excited for. Dude, I even got, I even paid for hard to get championship tickets and a trip to the final four. You don't get more NIL. You're probably not going to top that one. Yeah. Well, you don't get more NIL than that. That was like a scene out of blue chips, man. That was like, Oh, it was so nice to do for Chase and I go nice. What do you think? Why do you think he agreed to come work here? You should see the things that I've got. I've got to deliver on two years from now, right? Like I've, the folks don't realize the, how expensive you were, man. Oh, I sat 25 feet from, from Wemby. That's, that's how good my tickets were. There we go. And then, then all I had to do was buy your dad a new tractor and then, then you were there, right? That's how it was a good movie, man. By the way, I gotta go see that again. Um, Funny because you go look at that. And I mean, like, if I showed that to my kids today, they'd be like, that's all he got paid. Now it's like the browns tied in. It was like, he cleared waivers and signed with the LSU. And it's like, what? That sounds, it sounds so weird. Hey, why was that able? I thought the minute you declare for the draft, you forfeit. Oh, cause they're no longer amateurs. There's no rules anymore, man. I mean, there's now the conference. He has college eligibility left.

Everybody does all the time now. Like there's just no rules left. It's absurd. And usually like these judges, like someone will sue and then a judge is like, yeah, that's fine. I would say, I think a simple rule that would make sense to me would be if you make a 53 man roster, or if you make the roster of a professional team, like for the season, you are no you are permanently any eligibility lewa. So if we're kid like that, those conferences are making new new rules that will be as long as the courts don't blow them up somehow like the they will hold and they'll be good and nca is doing I think five years now. Okay, but if a kid gets some bad advice. Okay. And let's say came from broken home in like just the most sympathetic case we can he gets some bad advice.

He declares, goes into the draft, gets cut preseason and he's still got a year or two of eligibility left where he can go back and make it 800,000 or a million dollar NIL, get some more time under his belt, maybe make it back into the pros. Like I don't have a problem with that. Yeah, I mean, they combine it everything and then they decided, all right, no, I'm out. They like

go listen to the tunes, get the real deal scoop on where they're at. And if it's not good enough, they go back to school and everyone's cool with it. I love that. That's great. Yeah. Yeah. Yeah. But if you, I would say if you make a roster, you actually, yeah, you can't now you should be able to go to camp if you don't, but if you make a 53 man in the NFL or if you make a 12 man or even a G league roster in the NBA, you forfeit your eligibility, right? You can't be treating that like a, I don't know though, but then you've got, here's going to be the tough thing. It's going to be tough for those comfort. Well, I guess if the conference enforces their own rules, but I feel like they're going to get crossed up with labor laws because the minute they become unamateurs, Right? They fall under just labor laws, OSHA laws, stuff like that. And I think that's why it has unraveled is because like, to be fair to these judges, like, what do you want from them? Like, it's kind of hard for them to just based on the letter of the law, like be like, well, you can't do that. You know what I mean? Yeah. Yeah. So interesting. Hopefully at least makes sense going forward because right now it's just wild west. Yeah. And I just don't think it's good for anybody. No, I mean, not for any.

Well, and I mean, we're parading around it's a masquerade, Tom. This isn't school. These kids aren't getting an education anymore. This is ridiculous. Oh, not, not close. So as I got the kid, he was a quarterback at Miami last year and before that Georgia, he just totally admitted like, oh, I don't go to school. Like they asked him something about class. He's like, what are you talking about? Haven't got a class in two years. Who was that? Who? Oh, yeah, yeah, yeah. Yeah. Yeah. Someone asked him about class. on him. He just totally admitted like, Oh, I'm not doing that. Well, you know, some of the fourth, fifth year transfers aren't, they're not going to school. Dude, to be fair, he had, had I played in that scenario and I was making, let's say 800 grand a year as a college kid and I knew I was going to the league or thought I was going to the league. I wouldn't be going to class. I wouldn't be going to class. Yeah. Like not at that age. You, right.

Would you, you might have, you might have, you were more responsible. I didn't get responsible until I went back and finished college. I took like a year and a half off, made money because I had to pay my own way through. I was helping a kid at your home. That's what I was doing. Okay. You're welcome. Stanford. There you go. There you go. Anyway, you got anything

else else, man? Good to go. All right. I think that's our longest one ever. All right, guys. Thank you so much for listening as, oh, yeah. As always, um, you can doubt, you can get both of us on social media. We're on action. You can get me at KYR radio chase at pine cone macro for the video feed. Go to YouTube. You search know your wrist podcast on all the different podcast sites. Anyway, have a wonderful weekend. Wish us luck on Sunday. We will see you on Monday. You're listening to the know your wrist podcast. Download and subscribe at know your wrist podcast.com.

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